



When Shareholders Contribute Unequally

Funding, personal capacity, remuneration and risk in an SME

Equal ownership answers who owns the shares. It does not, by itself, determine who must provide more money, who should earn what, or who should carry the greater personal risk when the business needs support.

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General business and financial education only. Company law, tax, employment, credit and contractual consequences require advice based on the company's actual agreements and circumstances.

Executive Summary

Clarity begins with identifying what each shareholder contributes, receives and risks.

Two shareholders can own a business equally while contributing very differently. One may provide more cash, sign larger sureties, work full-time or defer remuneration. The other may bring customers, technical capability or operational leadership, but have limited personal capacity because of commitments.

Those differences need to be identified and treated explicitly. Otherwise, a payment becomes “money I put in”; a reduced salary becomes “sacrifice”; a personal guarantee remains invisible until the company fails; and a loan repayment is mistaken for preferential remuneration.

- Separate ownership, funding, work, remuneration, benefits and personal risk.
- Acknowledge genuine limits on personal funding capacity without transferring unlimited risk to another shareholder.
- Agree the rules before the company needs emergency funding.

DECISION PRINCIPLE

DECISION PRINCIPLE Every material difference should be disclosed, classified, agreed and recorded before it is relied upon.



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A practical framework for separating ownership from funding capacity, work, benefits and risk.

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MAIN ARTICLE

Equal ownership does not settle every question

Shares establish ownership rights. They do not automatically answer every future funding or remuneration question.

1 The assumption that causes the argument

A 50/50 shareholding often creates an expectation that everything else will also be equal: capital contributions, monthly funding, working hours, salaries, dividends and exposure to debt. That expectation feels simple, but it rarely survives contact with a real business.

A shareholder's legal obligation to provide more money cannot safely be inferred from the ownership percentage alone. The memorandum of incorporation, shareholders' agreement, subscription terms, loan agreements and later resolutions matter. If those documents are silent, the company may have a commercial need for cash without a clear mechanism compelling either owner to provide it.

Equal shares can coexist with unequal roles

One shareholder may run the business daily while another contributes strategic oversight. One may have invested cash at formation; another may have contributed intellectual property, customer access or years of under-remunerated work. These contributions are real, but they are not automatically equivalent and should not be converted into values retrospectively during a dispute.

Commitment and capacity are different questions

A shareholder may be committed to the business yet unable to provide more money. Conversely, a shareholder may have personal liquidity but reasonably refuse to fund an unapproved strategy or an undefined loss. The business needs facts and agreed rules, not assumptions about loyalty.

MANAGEMENT TEST

MANAGEMENT TEST

Can each shareholder explain, in the same terms, what 50/50 ownership does - and does not - require when the company needs more cash?

THE FRAMEWORK

The six shareholder accounts

Most disputes become clearer when unlike contributions are stopped from being mixed together.

2 Keep separate records for separate relationships

A shareholder can have several relationships with the same company at once: owner, lender, employee, director, supplier, guarantor and recipient of distributions. A single payment can therefore be misunderstood unless its purpose is recorded when it occurs.

ACCOUNT	WHAT IT ANSWERS
Ownership	Who holds the shares, voting rights and rights attached to that class of share?
Funding	Who subscribed for equity, advanced loans or paid company costs personally?
Personal capacity	What can each shareholder realistically fund or guarantee, and for how long?
Work and sacrifice	Who performs which role, carries which accountability or defers agreed remuneration?
Benefits received	What was paid as remuneration, reimbursement, dividend, loan repayment or another benefit?
Risk carried	Who signed surety, pledged assets or accepted exposure beyond the amount invested?

These accounts interact, but they should not be netted informally. A shareholder loan is not salary. A dividend is not repayment of a loan. Long hours are not automatically additional equity. Personal surety is not cash in the bank, but it is genuine contingent risk.

Do not wait for hindsight to create the rules

Retrospective valuation is especially dangerous. Once relationships are strained, each person naturally values their own contribution more highly. The better time to agree the treatment is before the money, work or guarantee is provided.

PERSONAL CAPACITY

Personal finances affect business capacity

Private finances remain private - until the company's plan depends on them.

3 The funding plan cannot rely on imaginary capacity

Shareholders do not enter a business with identical personal balance sheets. One may have liquidity and unused borrowing capacity. Another may have significant debt, high household commitments, dependants or existing guarantees. Those circumstances affect the amount and duration of support each can realistically provide.

Personal debt does not prove a lack of commitment or character. It does, however, constrain choices. A shareholder with no borrowing capacity cannot be treated as a dependable source of emergency finance merely because the shares are held equally.

How much disclosure is reasonable?

The company does not need unrestricted access to every personal transaction. But if the business plan assumes future shareholder funding or guarantees, there should be enough honest disclosure to establish capacity and limits.

- Existing debt and significant monthly commitments that affect funding capacity.
- Available liquidity and realistic borrowing capacity - not the theoretical value of an asset.
- Existing personal guarantees and sureties, including obligations to other businesses.
- The maximum additional amount and period each shareholder is willing and able to support.
- Foreseeable events that could materially reduce that capacity.

Capacity should be reviewed, not presumed forever

Personal circumstances change. A shareholder who could fund the business at formation may be unable to do so three years later. The agreement should therefore require periodic confirmation and immediate disclosure of material changes - without turning the company into a monitor of private spending.

CAPACITY PRINCIPLE

CAPACITY PRINCIPLE

A genuine capacity constraint should be recorded, together with agreed measures addressing any funding and risk carried by another shareholder.

MONEY IN

Money into the company

The label chosen today determines the rights and expectations tomorrow.

4 Equity, shareholder loan or informal advance?

When a shareholder transfers money to the company, the first question is not who was more generous. It is what the transaction legally and commercially represents.

TREATMENT	COMMERCIAL EFFECT	QUESTIONS TO SETTLE
Additional equity	Permanent risk capital; may affect ownership or rights if new shares are issued.	Valuation, share class, dilution, approvals and exit treatment.
Shareholder loan	Company owes the shareholder under agreed terms.	Interest, security, ranking, repayment dates and subordination.
Expense paid personally	Shareholder settles a company cost.	Evidence, approval, reimbursement and VAT/tax treatment.
Informal advance	Cash moves without agreed terms.	High risk of later disagreement; document and classify promptly.

Should unequal funding change ownership?

Not automatically. Dilution is one possible mechanism, but it is not the default answer to every shortfall. The contributing shareholder might instead receive a properly documented loan, interest, repayment priority or another negotiated protection. Any change to shares requires appropriate company-law, valuation and tax attention.

Emergency funding still needs governance

Urgency is not a reason to abandon records. At minimum, the board and shareholders should record the amount, purpose, classification, authority, repayment or conversion terms, and what happens if the other shareholder later contributes their portion.

The company must also test whether the proposed funding solves the underlying problem. More shareholder money can bridge timing; it cannot indefinitely repair an uneconomic margin, uncontrolled spending or a business model that continues to lose cash.

MONEY OUT

Money and value taken out

Payments to owners must be classified before their treatment can be assessed.

5 Remuneration is not a return on ownership

A shareholder who works in the company may be paid for the role performed. That payment does not need to be described as “market related” to be defensible. In a start-up or wealth-building phase, the agreed remuneration may be deliberately modest, deferred or linked to affordability.

The important questions are whether the role is real, the amount is agreed, the company can afford it, and the treatment is consistent with employment, payroll and tax requirements. Equal shareholders performing different roles may reasonably receive different remuneration.

Reduced or deferred remuneration

Accepting less cash can be a meaningful sacrifice, but it must be recorded carefully. If an amount is genuinely owed and deferred, the accounting and legal basis should be clear. If the shareholder simply agreed to a lower salary, the difference from a hypothetical salary should not later be presented automatically as a debt or capital contribution.

Do not mix the payment categories

PAYMENT	WHAT IT REPRESENTS
Salary or fee	Payment for an agreed role or service, subject to the applicable tax and legal treatment.
Reimbursement	Repayment of a properly supported company expense paid personally.
Shareholder-loan repayment	Settlement of an existing company debt; not remuneration or a dividend.
Interest	Return under a loan agreement, with tax consequences requiring confirmation.
Dividend or distribution	Return linked to share rights, subject to company-law and tax requirements.
Drawings / unexplained payment	A warning label, not a satisfactory classification for a company transaction.

South African company distributions require more than available bank cash. Board authority, the company’s governing documents, the statutory solvency and liquidity requirements and the tax treatment all need to be considered.



PERSONAL RISK

Personal surety and unequal exposure

Company debt can become a shareholder's personal problem long after the funding decision is made.

6 The balance sheet may not show who carries the real downside

A loan belongs to the company, but a shareholder who signs surety accepts a separate personal exposure. Depending on the wording, the lender may be entitled to pursue one or more sureties for amounts the company cannot pay. The ownership percentage does not necessarily cap that exposure.

This matters when shareholders sign different levels of surety, when only one has assets acceptable to the lender, or when the documents impose joint and several liability. A 50% shareholder may therefore carry considerably more than 50% of the practical downside.

Surety is not the same as cash - but it is not nothing

No cash enters the company merely because a shareholder signs. The contribution should therefore not be added to the shareholder loan balance. Yet the risk should be acknowledged, limited where possible, reviewed and considered when future funding or distributions are discussed.

- Record which facilities and amounts each shareholder guarantees.
- Understand whether liability is limited, proportional, joint or joint and several.
- Agree whether guarantees will be reduced or released as company debt declines.
- Prevent new debt or increased facilities from being accepted without the required authority.
- Consider what happens to the surety if a shareholder exits, dies, becomes disabled or is no longer involved operationally.

Personal guarantees require informed consent

No shareholder should discover after signing that an "ordinary bank form" places a home, savings or other assets at risk. Independent legal advice is appropriate before material personal security is given, varied or relied upon in an exit arrangement.

RISK PRINCIPLE

RISK PRINCIPLE

Ownership measures the interest in the company. A surety measures personal exposure to a creditor. Do not assume the two are equal.

WORKED EXAMPLE

Equal owners face a funding shortfall

The funding decision becomes clearer once the questions are separated.

7 Same shares, different personal positions

Consider a fictional owner-managed company with two equal shareholders. The business has a credible order pipeline but needs temporary working capital before customers pay. One shareholder can fund the full shortfall; the other cannot contribute cash at present.

FACTOR	SHAREHOLDER A	SHAREHOLDER B
Shareholding	Equal interest	Equal interest
Operating role	Finance and commercial oversight	Managing director and sales
Current funding capacity	Can fund the shortfall	Cannot contribute cash now
Personal position	Has available liquidity	Debt and household commitments constrain capacity
Personal guarantees	Has accepted greater contingent exposure	Has accepted less contingent exposure
Current remuneration	Reduced by agreement	Reduced by agreement

What needs to be agreed?

- Confirm whether either shareholder is obliged to contribute, and record the amount, period and limit of any obligation.
- Agree how any funding provided by only one shareholder will be classified, capped, protected and repaid or otherwise treated.
- Record Shareholder B's realistic capacity constraint and identify the alternatives available to the company.
- Obtain Shareholder A's express agreement before relying on personal liquidity and quantify the resulting cost and risk.

A possible negotiated solution

After confirming the company's forecast and the purpose of the cash, the parties could document Shareholder A's contribution as a shareholder loan with defined interest, repayment triggers and information rights. They might preserve equal ownership, suspend dividends until the loan reaches an agreed level, cap further funding unless both approve it, and require each shareholder to disclose any material change in capacity. That is only one solution - not a universal rule.

If the company cannot support the loan terms, or if repeated funding is likely, the parties may need to consider new equity, an external investor, reduced spending, a revised strategy, dilution or an orderly exit. Those choices require valuation, legal and tax advice.



SOLUTION OPTIONS

Funding and personal capacity

The answer is not always equal cash. It is a mechanism that the company can afford and the shareholders understand.

8 Match the solution to the underlying problem

No agreed obligation to provide more money

Adopt a written funding-call procedure. It should state who may request funding, the information required, whether participation is optional or compulsory, each shareholder's cap, the response period and what happens when a shareholder declines or cannot participate. A funding call should be supported by a purpose, a 13-week cash forecast, alternatives considered and the expected repayment or return.

Only one shareholder can fund the shortfall

Possible mechanisms include a documented shareholder loan, staged contributions, external debt, a new investor, temporary cost reductions or a negotiated equity issue. A shareholder loan can preserve ownership while recognising unequal cash; new equity can change ownership where permanent capital and risk have genuinely changed. Neither should be chosen without considering affordability, valuation, tax and legal consequences.

The business repeatedly needs shareholder rescue

Stop treating each shortfall as an isolated emergency. Set a cumulative funding limit and a review trigger. Once reached, management must revisit margins, working capital, fixed costs, strategy and the viability of the business before further personal money is requested. The solution may be restructuring, external capital, reduced activity or an orderly exit rather than another bridge.

The contributing shareholder needs protection

Agree interest or another lawful return where appropriate, repayment triggers, information rights, restrictions on further borrowing, possible security, treatment on exit and whether discretionary distributions are restricted while the loan remains outstanding. The protection should not make the company's cash position impossible; repayment priority is useful only if the company can realistically honour it.

DECISION TEST

DECISION TEST	Does the proposed funding solve a timing problem, or merely postpone a structural loss?
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SOLUTION OPTIONS

Work, remuneration and money out

Contribution cannot be assessed clearly while salary, sacrifice, ownership returns and reimbursements are mixed together.

9 Make the operating arrangement visible

Shareholders carry unequal operating roles

Use written role descriptions, decision rights, time commitments and measurable accountabilities. Review them periodically. Equal ownership does not require equal remuneration where the work differs, but payment should follow an agreed role and the company's affordability rather than an informal claim that one person "does more".

The company cannot afford full remuneration

Agree a start-up or wealth-building remuneration policy: the cash amount payable now, any performance or affordability triggers, the review date and whether any unpaid amount is genuinely owed. A lower agreed salary is not automatically a debt. Contractually deferred remuneration should be recorded separately and assessed for payroll, tax and legal consequences.

Owner payments are poorly classified

Adopt an owner-payment policy. Every payment should be coded and supported when made as remuneration, reimbursement, interest, shareholder-loan repayment, dividend or another approved category. Unexplained "drawings" from a company should trigger review rather than become a permanent suspense account.

Personal capacity must be discussed without destroying privacy

Use a confidential capacity declaration limited to what the business genuinely needs: available funding range, existing material guarantees, borrowing constraints, maximum acceptable exposure and foreseeable changes. Confirm it annually and when circumstances materially change. Do not demand unrestricted access to personal accounts or judge ordinary household choices.

Distributions may worsen an existing imbalance

Before dividends or other discretionary benefits are considered, review solvency and liquidity, outstanding shareholder loans, unpaid approved remuneration and unequal personal exposure. The shareholders can agree distribution restrictions or thresholds, but the board must still comply with company law and exercise its own judgement.

CLASSIFICATION RULE

CLASSIFICATION RULE	No amount should leave the company until its purpose, authority, supporting evidence and accounting treatment are clear.
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SOLUTION OPTIONS

Creditor recovery, surety and exit

The creditor's right to recover and the shareholders' agreement about who should ultimately carry the loss are different questions.

10 Protect against unequal personal exposure

The shareholder with assets becomes the easier target

Where the finance documents permit it, a creditor may pursue the surety from whom recovery is easiest. Internal ownership percentages do not necessarily restrict the creditor. Matters to discuss with an adviser and the creditor before signing include capped or proportionate sureties, automatic increases, consent for new facilities and the effect of each waiver. Any intended limitation must be reflected in terms accepted by the creditor.

One co-surety pays more than the agreed share

Co-sureties may have contribution rights between themselves, but the wording and facts matter. Record the intended proportions in a contribution agreement or cross-indemnity. If one shareholder pays, document any resulting claim against the company and co-surety, while recognising that a claim has little economic value if they have no recoverable assets.

Only one shareholder signed surety

Equal shares do not by themselves make the other shareholder personally responsible under a surety signed by only one shareholder. Any intended sharing or protection should be addressed in appropriate agreements. Discussion options may include a cross-indemnity, borrowing and distribution restrictions, information and veto rights, security, or an adjustment to the commercial arrangement. Each requires legal, tax and valuation consideration.

A shareholder exits while the creditor still holds the surety

Possible exit protections to discuss include creditor release, accepted replacement security or refinancing. A share sale or private agreement does not by itself release a surety held by the creditor. If immediate release is unavailable, an appropriately drafted exit agreement could identify who will pursue release or refinancing, the steps required and a final deadline. Interim options may include consent controls over further drawdowns, facility increases, additional secured debt, extended repayment terms or changes to security, together with lender statements, default notices and an indemnity. These arrangements may regulate the parties between themselves, but do not bind the creditor unless the creditor accepts them.

The shareholders reach deadlock

Use a staged process: informed direct discussion, mediation, expert determination where needed, and a carefully drafted buy-sell or exit mechanism as a last resort. Avoid formulas that reward the deepest pockets or force a distressed sale without valuation safeguards.

PROTECTION PRINCIPLE *An indemnity is only as useful as the other party's ability to honour it. Test legal rights against practical recoverability.*

AGREEMENT

What shareholders should agree in advance

The agreement must work on an ordinary Tuesday - and during a cash crisis.

11 Build the mechanism before the emergency

A useful shareholders' agreement is not merely a record of percentages. It should explain how the company will respond when additional capital, temporary liquidity or personal guarantees are required.

- Who may request funding and what information must support the request?
- Is there any obligation to contribute, and is it capped by amount, period or percentage?
- What happens when one shareholder is unable or unwilling to participate?
- Will additional funding be equity, a loan, third-party debt or a combination?
- How are interest, repayment, security, priority and possible conversion determined?
- May the company accept new debt or sureties without unanimous approval?
- How are operating roles, remuneration, deferred amounts and reimbursements approved?
- When may dividends be considered, particularly while shareholder loans remain outstanding?
- What financial information must shareholders receive and how often?
- How are deadlock, incapacity, exit, death and default handled?

Use thresholds and triggers

Vague promises are difficult to apply. A stronger arrangement uses practical triggers: the cash forecast falls below an agreed reserve; borrowing exceeds a limit; a funding request must include a 13-week forecast; further shareholder exposure requires written consent; or remuneration is reviewed when the company reaches a defined cash and profitability position.

Review personal capacity respectfully

The shareholders can agree an annual confidential confirmation of capacity and immediate disclosure of material changes. The objective is not to supervise household spending. It is to keep the company's funding plan realistic and prevent one shareholder's personal circumstances from becoming an undisclosed business dependency.

CFO TEST

CFO TEST

If the company needed urgent additional funding, could the shareholders predict the process, the classification of the money and the protection of each person - without first having an argument?

CLOSING PERSPECTIVE

Differences need structure

The company should not depend on assumptions that the shareholders have never tested.

12 Conclusion

Equal ownership can remain entirely appropriate when shareholders contribute different amounts of cash, time, expertise and personal risk. Clear treatment does not require perfect symmetry. It requires the differences to be known, classified and addressed consistently.

The financially constrained shareholder should not be judged simply for being unable to contribute. But that constraint cannot become an automatic obligation for another shareholder to fund every shortfall, sign every surety or defer repayment indefinitely. The company needs a mechanism that protects the business while recognising both contribution and capacity.

The practical discipline is to keep six accounts separate: ownership, funding, personal capacity, work and sacrifice, benefits received, and risk carried. Once those categories are clear, the shareholders can choose among loans, equity, external funding, reduced costs, deferred remuneration or changed ownership with far less ambiguity.

The best time to agree those rules is not when payroll is due or a lender is waiting for signatures. It is while the shareholders can still discuss the matter as partners rather than opponents.

Related reading

Relevant Carron reports include “Can Your Business Afford to Grow?”, “Why the Bank Said No - and How to Change the Answer”, and “The 13-Week Cash Flow Forecast Every SME Should Run”.

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CLOSING PRINCIPLE

CLOSING PRINCIPLE

Clear treatment does not require every shareholder to contribute, earn or risk the same amount. It requires every material difference to be disclosed, classified, agreed and recorded.

QUICK REFERENCE

Problem-to-Solution Matrix

A non-exhaustive set of discussion suggestions for moving from an identified imbalance to possible protection and treatment.

The matrix does not prescribe a single answer and cannot cover every shareholder arrangement or business circumstance. Use it only as a starting point: select, adapt or combine options after considering the company's agreements, finance documents, tax position, affordability and the practical recoverability of each protection with appropriately qualified advisers.

PROBLEM IDENTIFIED	POSSIBLE DISCUSSION OPTIONS
Shareholders assume equal ownership requires equal funding	State whether further funding is compulsory, optional or capped; establish a funding-call procedure.
One shareholder cannot contribute because of personal debt or commitments	Disclose realistic capacity; use shareholder loans, external funding, staged contributions, cost reductions or agreed dilution mechanisms.
One shareholder provides all the additional funding	Record it as equity or a shareholder loan; agree interest, repayment priority, information rights, security and dividend restrictions.
Personal financial circumstances are treated as entirely private	Require limited confidential disclosure of funding capacity, existing sureties and material constraints—not unrestricted access to personal finances.
A shareholder accepts lower remuneration	Agree affordable remuneration; distinguish reduced remuneration from contractually deferred remuneration; record any amount actually owed.
Shareholders perform unequal operating roles	Use written roles, responsibilities, time commitments, decision rights and agreed remuneration principles.
Money taken from the company is poorly classified	Separate salary, reimbursement, dividends, interest and shareholder-loan repayments; require approval and supporting records.
One shareholder signs greater personal surety	Negotiate caps, proportional exposure, cross-indemnities, security, information rights and approval rights over additional borrowing.
The wealthier shareholder becomes the creditor's easiest target	Where possible, negotiate limitations in the original surety; consider contribution and indemnity arrangements between shareholders and whether separate security is appropriate.
The other shareholder has no assets from which contribution can be recovered	Recognise that an indemnity may be worthless; consider security over shares, distribution restrictions, dilution rights or alternative funding before exposure is accepted.
The company cannot repay the shareholder who settled the debt	Record the resulting claim properly; restrict distributions; establish repayment priority; consider restructuring or external capital.
Shareholders disagree about whether more funding is sensible	Require a funding request supported by a 13-week cash forecast, purpose, repayment plan, alternatives and downside scenario.
Urgent funding bypasses governance	Adopt an emergency-funding procedure with authority limits and written ratification.



PROBLEM IDENTIFIED	POSSIBLE DISCUSSION OPTIONS
One shareholder repeatedly funds shortfalls	Establish cumulative funding limits and triggers for restructuring, dilution, external investment, cost reduction or exit.
Dividends are paid while one shareholder remains exposed	Before any distribution, confirm the statutory solvency and liquidity requirements and consider whether shareholder loans or unequal exposures should first be reduced.
A shareholder exits while still liable under surety	Seek written creditor release or accepted replacement security as part of the exit; do not assume the shareholders' private agreement releases the surety.
The company reaches a 50/50 deadlock	Use escalation, mediation, independent advice, reserved matters and a carefully drafted buy-sell or exit mechanism.

APPLICATION NOTE *These suggestions are non-exhaustive, may not suit the circumstances and are not automatic legal or tax outcomes. Other solutions may be more appropriate. Any chosen treatment should be tested and documented by appropriately qualified advisers.*

PRACTICAL TOOL

Shareholder Contribution and Decision Review

Complete and retain this before the next funding, guarantee or remuneration decision.

REVIEW AREA	SHAREHOLDER A	SHAREHOLDER B	AGREED TREATMENT
Ownership, voting and equity contributed			
Shareholder loans and company costs paid personally			
Operating role and accountability			
Current or contractually deferred remuneration			
Dividends / distributions received			
Personal sureties and security			
Additional funding capacity, limit and period			
Material constraints and foreseeable changes			

Funding decision record

QUESTION	AGREED ANSWER
Amount, purpose, timing and supporting forecast?	
Alternatives considered and affordability?	
Funding classification and each shareholder's participation?	
Repayment, return, security, distributions and surety effects?	
Approval, documentation, review and exit triggers?	

REVIEW RULE Approve only once the purpose, classification, authority, affordability, personal exposure and effects on each shareholder are understood and recorded.